



[Weekly Market Commentary](#)

Dear clients,

Last week's executive orders from the White House left the crypto market uncertain about the timeline of additional catalysts, causing liquid tokens to move in sympathy with risk assets like US equities. This week saw some choppiness driven by DeepSeek's R1 model, which we believe holds significant promise for transforming the tech industry. In our view, the repricing and subsequent market recovery suggests an implicit recognition of the potential for productivity gains from streamlined AI models, which could possibly fuel massive global economic growth over the long run.

Meanwhile, the Canary Litecoin (LTC) ETF officially became the first non-BTC/ETH ETF to be acknowledged by the SEC, effectively setting a final decision deadline in late September or early October 2025. We think this decision will set an important precedent for future crypto ETFs since LTC does not have a CME futures equivalent, which was core for the approval of spot BTC and ETH ETFs. That is, the SEC would need to introduce a new rationale for approvals that could have second order effects for crypto assets with similar mechanics and liquidity profiles.

Another potential catalyst the markets are eyeing for 2025 is the creation of more government-linked crypto reserves. More than a dozen states have introduced legislation to form BTC reserves, most recently with Illinois and South Dakota joining in. Momentum also remains strong at the Federal level with Senator Cynthia Lummis appointed as the head of the new Subcommittee on Digital Assets with the explicit goal of creating a national reserve. Polymarket is pricing in 56% odds that a US national reserve will be created in 2025.

Finally we recently published our [Q1 2025 Guide to Crypto Markets](#) that provides an in-depth view of crypto markets, including deep dives into onchain analytics. Our spotlight themes this quarter (Ownership in Transition, Stablecoins Take Off, and Layer-2s Lead the Way) reflect the maturation of the market and the broadening of the crypto economy. The insights shared by our partners meanwhile help to frame the current environment and shed light on what they consider to be the most important charts in crypto right now.

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Best,
The Coinbase Institutional Team

Weekly Market Call

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